

Falcon Distribution

Investment / Sales Offering Memorandum and Underwriting Reconciliation | Industrial | Indianapolis, IN | As of 2026-08-31 | Original fictional evaluation material; no real transaction

Executive Summary

Falcon Distribution is an eight-suite industrial property in Indianapolis, Indiana totaling 176,060 rentable square feet across three suite formats. The certified rent roll dated 2026-08-31 shows seven suites in active possession and one vacant suite (Suite 008, 22,000 SF), producing 87.50% unit occupancy and 87.50% occupancy by area (154,060 of 176,060 SF). Annual in-place contractual rent from the seven active suites is \$1,227,600.

Underwritten per the packet instructions, all-suite scheduled rent of \$116,900 per month annualizes to \$1,402,800 of gross potential rent. After a 5% economic loss and \$350 per suite of other income, underwritten EGI is \$1,335,460. Underwritten operating expenses of \$432,848 (tax, insurance, other recurring costs and a 3% management fee) yield NOI before reserves of \$902,612; after a \$300 per suite replacement reserve, net cash flow is \$900,212. Capitalized at 6.2500%, the NOI before reserves supports a capitalization value of \$14,441,795.

Debt sizing at the greater of the 6.1000% note rate and the 7.0000% underwriting floor, on 30-year monthly amortization, produces a maximum loan of \$9,020,580, constrained by the 1.25x DSCR test (LTV limit \$9,387,167; debt yield limit \$10,002,358). After a 1% origination fee, \$45,000 of closing costs and the \$7,800,000 existing payoff, net cash-out is a positive \$1,085,375. No asking price, sale or lease comparables, photographs, appraisal or sponsor track record is supplied in this packet, and none has been assumed.

Approved copy preserved verbatim: "Source-backed analysis. Assumptions remain subject to diligence."

Metric	Value	Source
Total suites	8	rent-roll-certified.xlsx A5:A12
Total area (SF)	176,060	rent-roll-certified.xlsx C5:C12
Occupied suites / area	7 / 154,060 SF	rent-roll-certified.xlsx D5:D12
Unit occupancy / area occupancy	0.8750 / 0.8750	Computed
Annual in-place rent	\$1,227,600	rent-roll-certified.xlsx E5:E12
Gross potential rent (UW)	\$1,402,800	underwriting-instructions.pdf p.1
Underwritten EGI	\$1,335,460	Computed
Underwritten NOI before reserves	\$902,612	Computed
Underwritten NCF after reserves	\$900,212	Computed

Metric	Value	Source
Capitalization value at 6.2500%	\$14,441,795	Computed
Maximum loan (DSCR-bound)	\$9,020,580	Computed
Net cash-out	\$1,085,375	Computed
Reported T-12 NOI	\$869,736	operating-statement.pdf p.1

Property and Suite Mix

The asset is presented as a multi-suite industrial building with eight demised suites in three formats. Per the manager's cover note, unit groups A, B and C correspond in order to Small suite, Standard suite and Large suite. All suites carry a stated lease expiration of 2029-08-31.

No photographs, site plan, building age, clear height, dock configuration, address or parcel data are supplied; these remain explicitly unknown rather than estimated.

Group	Format	Suites	Occupied	Area SF	Monthly rent per suite
A	Small suite	3	3	65,640	\$14,450
B	Standard suite	3	2	66,000	\$14,600
C	Large suite	2	2	44,420	\$14,875
Total	All formats	8	7	176,060	\$116,900 aggregate

Lease and Occupancy Analysis

The certified rent roll dated 2026-08-31 controls physical occupancy per the manager's cover note. Seven suites are in active possession; Suite 008 (Standard suite, 22,000 SF, scheduled rent \$14,600 per month) is vacant. Unit occupancy is 7 of 8 (0.8750) and area occupancy is 154,060 of 176,060 SF (0.8750). Zero suites are in a pending, unpossessed status on the certified roll, so pending units equal zero rather than unknown.

The manager's headline of seven of eight leased is stated to count occupied plus pending occupants who have not taken possession. That methodology overstates physical occupancy in principle; here the certified roll contains no pending suites, so the headline coincides with the seven physically occupied suites and no numerical adjustment is required. The underwriting nonetheless relies on the certified possession detail rather than the leased headline.

Suite 001 is supported by an executed lease at \$14,450 per month for 21,880 SF expiring 2029-08-31, with a \$28,900 security deposit and no free-rent concession as of the evaluation date. Manager correspondence dated August 31, 2026 confirms no amendments or new concessions affect Suite 001, so the certified roll rent of \$14,450 and the executed lease agree; the stale 2026-06-30 archive roll rent of \$14,375 is superseded and

was not used. No unsigned rent proposal or amendment for any suite appears in the packet.

All active leases expire 2029-08-31, roughly three years beyond the evaluation date. Applying the packet definition of near-term rollover (an active suite expiry within the next 12 months), there is no near-term rollover exposure; the concentration of all expirations in a single month in 2029 is a longer-dated concentration risk rather than a near-term one. Tenant identities beyond Suite 001, tenant financials, guaranty terms, reimbursement structures and the leasing status or timing of Suite 008 are not supplied.

Suite	Area SF	Status	Monthly rent	Annual rent	Expiration
001 (A)	21,880	active	\$14,450	\$173,400	2029-08-31
002 (B)	22,000	active	\$14,600	\$175,200	2029-08-31
003 (C)	22,210	active	\$14,875	\$178,500	2029-08-31
004 (A)	21,880	active	\$14,450	\$173,400	2029-08-31
005 (B)	22,000	active	\$14,600	\$175,200	2029-08-31
006 (C)	22,210	active	\$14,875	\$178,500	2029-08-31
007 (A)	21,880	active	\$14,450	\$173,400	2029-08-31
008 (B)	22,000	vacant	\$14,600	\$175,200	2029-08-31
Total	176,060	7 active / 1 vacant	\$116,900	\$1,402,800	All 2029-08-31

Historical versus Underwritten Financials

The trailing twelve months ended 2026-08-31 reports rental and ancillary collections of \$1,262,520 against real estate tax of \$147,294, insurance of \$49,098 and other recurring operating expenses of \$196,392, for a reported NOI of \$869,736. The roof replacement booked in repairs is reported at \$0 and the statement states that no recurring repair component is included in that capital item, so no expense reclassification is required. Reported NOI is a cash figure that includes no management fee and no replacement reserve; historical collections are not an annualized rent-roll total.

Underwritten NOI before reserves of \$902,612 exceeds reported T-12 NOI by \$32,876, driven by the prescribed stabilized all-suite gross potential rent (which assumes Suite 008 at scheduled rent) net of the 5% economic loss, partly offset by the addition of a 3% management fee not present in the historical ledger. Reimbursement income is already embedded in the prescribed rent and other-income assumptions and was not added a second time.

Three distinct measures are used and should not be compared interchangeably: reported historical NOI (\$869,736), underwritten NOI before reserves (\$902,612, the capitalization basis) and underwritten NCF after reserves (\$900,212, the debt sizing basis).

Line	T-12 reported	Underwritten	Note
Gross potential rent	n/a (collections basis)	\$1,402,800	All-suite scheduled rent x 12
Economic loss (5%)	n/a	(\$70,140)	Instructed
Other income	included in collections	\$2,800	\$350 x 8 suites
Total revenue / EGI	\$1,262,520	\$1,335,460	Different definitions
Real estate tax	(\$147,294)	(\$147,294)	Same
Insurance	(\$49,098)	(\$49,098)	Same
Other recurring expenses	(\$196,392)	(\$196,392)	Same
Management fee	none reported	(\$40,064)	3% of EGI
Total expenses	(\$392,784)	(\$432,848)	
NOI before reserves	\$869,736	\$902,612	Historical vs underwritten
Replacement reserves	none reported	(\$2,400)	\$300 x 8 suites
NCF after reserves	not reported	\$900,212	Sizing basis

Debt Sizing and Sources / Uses

Loan constraints are maximum 65.00% LTV on capitalization value, minimum 1.25x DSCR on NCF, and minimum 9% NCF debt yield, with 30-year monthly amortization. The note rate is 6.1000% and the underwriting rate floor is 7.0000%; sizing uses the greater rate, so the floor binds and adds 0.90% to the sizing coupon even though the first 24 months are interest-only. At 7.0000% and 30 years, the annual debt service constant is 0.07983630 per dollar of loan.

The DSCR test is the binding constraint at \$9,020,580, below the LTV limit of \$9,387,167 and the debt yield limit of \$10,002,358. At that loan amount, implied LTV is 62.46% of capitalization value, implied NCF debt yield is 9.98% and DSCR is 1.2500x. Interest-only payments during the first 24 months at the 6.1000% note rate would be approximately \$550,255 per year, providing higher initial coverage; sizing does not rely on that relief.

Sources and uses: loan proceeds of \$9,020,580 less a 1% origination fee of \$90,206, \$45,000 of closing costs and the \$7,800,000 existing payoff leave positive net cash-out of \$1,085,375. There is no refinance shortfall and no additional equity requirement on these assumptions. Because sizing depends on capitalization value and NCF, the workbook Sensitivity sheet shows maximum loan across sizing rates of 6.50% to 7.50% and cap rates of 5.75% to 6.75%; the LTV test becomes binding at higher cap rates combined with lower sizing rates.

Item	Amount
Capitalization value (NOI before reserves / 6.2500%)	\$14,441,795

Item	Amount
LTV limit at 65.00%	\$9,387,167
DSCR limit at 1.25x on NCF, 7.0000% / 30 years	\$9,020,580
Debt yield limit at 9% of NCF	\$10,002,358
Maximum loan (binding test: DSCR)	\$9,020,580
Origination fee (1%)	(\$90,206)
Closing costs	(\$45,000)
Existing loan payoff	(\$7,800,000)
Net cash-out	\$1,085,375
Implied LTV / DSCR / debt yield	0.6246 / 1.2500 / 0.0998

Risks and Missing Diligence

Risk conclusions below use present, absent or unresolved. Known source conflicts have been reconciled and explained rather than left unresolved.

Vacancy and lease-up: the underwritten gross potential rent is a stabilized all-suite assumption prescribed by the instructions, while Suite 008 (22,000 SF, 12.5% of area) is physically vacant. Approximately \$175,200 of annual scheduled rent, or roughly 12.5% of GPR, is not currently in place; the 5% economic loss factor is thinner than current physical vacancy. No leasing schedule, downtime, free rent or tenant improvement and leasing commission budget for Suite 008 is supplied.

Rollover concentration: all eight leases are stated to expire 2029-08-31. This is beyond the 12-month near-term horizon and therefore not a near-term rollover issue, but a single-date expiry of the entire rent roll is a material re-leasing and exit consideration for any hold through 2029.

Diligence: legal, environmental, property condition and title reviews are not complete. The packet states these are routine pending items and supplies no evidence of contamination, litigation, fraud or structural failure; no such findings are asserted here. Insurance evidence is supplied (general liability aggregate limit \$2,000,000, policy 2026-07-01 through 2027-06-30), but property and casualty limits, deductibles, replacement cost valuations and lender-required coverages are not in the packet.

Not supplied and explicitly unknown: photographs, asking price or pricing guidance, market sales and rent comparables, sponsor or property management history, appraisal, tenant credit information, environmental and property condition reports, title and survey, tax appeal status, capital expenditure budget, and any schedule of pending occupants.

Risk field	Assessment	Basis
risk_pending_in_occupancy	present	manager-cover.pdf p.1: the seven-of-eight headline counts unpossessed pending occupants as leased; certified roll shows 0 pending suites, so no numerical effect after using certified detail
risk_near_term_rollover	absent	All active expirations 2029-08-31, beyond the 12-month horizon (rent-roll-certified.xlsx F5:F12)
risk_missing_insurance	absent	insurance.pdf p.1 provides policy limit and period; operating-statement.pdf p.1 provides insurance expense
risk_capital_in_opex	absent	operating-statement.pdf p.1: roof replacement booked in repairs is \$0 with no recurring repair component
risk_unsigned_rent_change	absent	No unsigned rent proposal in the packet; lease-correspondence.pdf p.1 confirms no amendments affect Suite 001
risk_temporary_free_rent	absent	lease-001.pdf p.1: no free-rent concession as of the evaluation date
risk_sizing_floor_binding	present	Floor 7.0000% exceeds note rate 6.1000%; sizing uses the floor (underwriting-instructions.pdf p.1)
risk_refinance_shortfall	absent	Net cash-out is positive \$1,085,375 after fees, costs and the \$7,800,000 payoff

Source Notes

All figures derive solely from the supplied packet. The certified rent roll dated 2026-08-31 controls occupancy and scheduled rent; the archive roll dated 2026-06-30 (rents \$75 per month lower per suite) is stale and was excluded. The executed Suite 001 lease and the August 31, 2026 manager correspondence agree with the certified roll at \$14,450 per month, resolving the archive conflict. Underwriting assumptions, loan constraints, fees and payoff come from underwriting-instructions.pdf. Historical amounts come from operating-statement.pdf. Group mapping A/B/C to Small/Standard/Large comes from manager-cover.pdf.

Workbook cell references: inputs gross_potential_rent Inputs!B3, cap_rate Inputs!B12, sizing_rate Inputs!B13; outputs uw_egi Underwriting!B6, uw_noi Underwriting!B14, uw_ncf Underwriting!B16, capitalization_value Underwriting!B19, maximum_loan Debt!B9, net_cash_out Debt!B17. The workbook contains live formulas, a two-way sensitivity table and a source register.

Source-backed analysis. Assumptions remain subject to diligence.

File	Location	Use
rent-roll-certified.xlsx	Rent Roll A2:F12	Controlling occupancy, area, rents, expirations
rent-roll-archive.xlsx	Rent Roll A2:F12	Stale 2026-06-30 roll; excluded
lease-001.pdf	p.1	Suite 001 executed terms; no free rent
lease-correspondence.pdf	p.1	No amendments or concessions for Suite 001
operating-statement.pdf	p.1	T-12 revenue, expenses, reported NOI \$869,736
insurance.pdf	p.1	GL aggregate limit \$2,000,000; 2026-07-01 to 2027-06-30
underwriting-instructions.pdf	p.1	UW assumptions, cap rate, loan constraints, fees, payoff
manager-cover.pdf	p.1	Market and asset type, group mapping, occupancy methodology caveat
diligence-status.pdf	p.1	Open routine diligence; no defect findings